

Tech concentration

Yes, a handful of giant tech stocks are driving market gains. But these are not the profitless ideas of the dotcom era. Companies like Apple, Microsoft, Google, Amazon, etc., are fast-growing, highly profitable key players in the modern economy.

Take Apple as an example: Nearly \$400 billion in 2023 revenues, \$101 billion in profits, five-year revenue growth at 11.5%, and five-year profit growth of over 20%. The Magnificent 7 (Apple, Amazon, Facebook, Google, Microsoft, Nvidia, Tesla) have about \$2 trillion in revenue and over \$300 billion in profits. No wonder they are called Magnificent—I keep wondering why technology is not more than 29% of the S&P 500.

Expensive markets

There is a fantasy that markets should always revert back to fair value. As we discussed, that is a poor framework for conceptualizing equities. Instead, think of fair value as a point on the spectrum from cheap to dear that markets wave hello and goodbye to as they blow past in either direction.

Overvalued markets can stay overvalued for much of a bull market cycle.

Yield curve inversion

Cam Harvey, the creator of the inverted yield curve recession indicator, points out that it is eight for eight in terms of recession forecasts.^{[206](#)} That is a good track record, but also a very tiny sample set. And it never has operated in an era where rates were at or near zero for more than a decade.

Some people have argued that instead of predicting recessions, an inverted yield curve actually predicts the FOMC (Federal Open Market Committee) response to falling inflation, which can be—but isn't always—associated with economic contractions.